

HEADLINE JUDGMENT

Note: 15 Jun figures are intraday prints; 12 Jun is now a final close (the weekend is a gap). Bloomberg's restated continuation series in force throughout. **Score FALLS to 23/30 — the largest single-session drop of the monitor (26→23) — as a confirmed US-Iran peace deal ends the war. The deal:** announced Sunday 14 Jun, Trump declared “the Deal with the Islamic Republic of Iran is now complete”; Iran's deputy Foreign Minister Gharibabadi confirmed it, and the UN, Qatar, Pakistan, the UK and France welcomed it. The 14-point MOU provides an immediate end to hostilities (including Lebanon), **toll-free reopening of the Strait of Hormuz**, the **immediate removal of the US naval blockade**, a 60-day ceasefire extension with nuclear talks to follow, and an Iranian reaffirmation against nuclear weapons; a formal signing ceremony is expected and the G7 (Evian, 15 Jun) will discuss the lasting reopening. **Three channels moved:** escalation-risk reverts 5→4 (confirmed peace deal); maritime-denial 5→4 (blockade removal and reopening authorized, though physical traffic is still ~5% and lags); and political-stress 5→4 (gasoline closed \$4.74 on 11 Jun, below the \$4.75 trigger). **Markets are pricing the resolution:** Brent crashed to \$82.47 intraday (WTI below \$80 at \$79.24; risk premium ~\$10/bbl, the conflict low), TTF –€5.6 w/w, yields –~14 bp w/w, MOVE and VIX below pre-war. 5Y5Y whipsawed back above 2.20% (12 Jun close 2.2117%, 15 Jun intraday 2.2523%), so US-inflation holds at 4 (one close above the trigger; re-upgrade pending). **The bias stays down:** oil →2 (Brent toward \$80) and further maritime/escalation downgrades as the deal is signed and traffic recovers — the score is trending toward the systemic-risk-watch band (15–21). Sequencing 28 (held three) → 26 → 23.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

15 Jun 2026 readings are intraday prints captured before session close — final settlements may differ. 12 Jun and earlier are final closes (restated continuation series). d/d deltas are 15 Jun intraday vs 12 Jun close; w/w deltas are vs 8 Jun close.

Benchmark	Intraday 15 Jun	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$82.47 /bbl	–\$3.65 (–\$9.78 w/w)	from \$72.48 (+13.8%) — crashing on the peace deal; risk premium ~\$10/bbl, the conflict low	CO1 Comdty
Brent · 12 Jun close (carried)	\$86.12 /bbl (vs \$88.02 intraday I reported)	close ran \$1.90 below my intraday — the slide continued into the weekend deal		CO1 Comdty (Close)
WTI front-month	\$79.24 /bbl	–\$4.11 (–\$10.01 w/w)	from \$67.02 (+18.2%) — below \$80 for the first time since the war	CL1 Comdty
Brent–WTI spread	\$3.23 /bbl	–\$0.46 d/d	WTI bid persists	derived
Henry Hub natural gas	\$3.05 /MMBtu	–\$0.07 (–\$0.09 w/w)	from \$3.06 (–0.3%) — back to pre-war; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€44.23 /MWh	–€2.55 (–€5.60 w/w)	from €31.23 (+41.6%) — falling hard on the reopening	TZTA Comdty
Japan/Asia LNG (12 Jun print)	¥3,020	flat vs 11 Jun	from ¥1,669 (+80.9%) — yet to reflect the deal	JGLA Comdty
Brent · April 2026 realized average	\$102.46 — 21 trading sessions			CO1 (Close mean)
EIA June STEO (9 Jun)	Brent ~\$105/b Jun–Jul assumed a closed strait — a reopening implies a much lower path			EIA STEO

US Treasuries and inflation expectations — Bloomberg

15 Jun 2026 yields are intraday — final closes may differ. d/d deltas are 15 Jun intraday vs 12 Jun close; w/w deltas are vs 8 Jun close. The peace deal has rallied bonds and pulled yields down.

Tenor	Yield (%) — intraday 15 Jun	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.02	–5.7	–13.8	+65 (from 3.37%) — Fed-hike repricing fully unwinding	USGG2YR Index
5-year UST	4.15	–5.8	–14.3	+65 (from 3.50%)	USGG5YR Index
10-year UST	4.43	–5.3	–13.7	+49 (from 3.94%) — 22.4 bp below 4.65% trigger	USGG10YR Index
30-year UST	4.93	–3.9	–10.8	+32 (from 4.61%) — well below 5.00% (Treasury reverted 5→4 on 11 Jun)	USGG30YR Index
2s10s spread	+40 bp	+0.5	+0.3	–16 (curve normalizing)	USYC2Y10 Index
10Y breakeven inflation	2.32	–0.5	–4.2	+6 (from 2.26%)	USGGBE10 Index
5Y5Y forward inflation	2.25	+4.1	+3.5	+11 (from 2.14%) — whipsawed back ABOVE 2.20% (US-inflation holds at 4)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	99.47	15 Jun intraday	+1.86 (from 97.61)	Easing (−0.28 d/d, −0.58 w/w) as yields fall and the safe-haven bid unwinds with the deal. Still above pre-war; no Stage-4 dollar-break.
MOVE Index (bond vol)	69.36	12 Jun (lagged)	−4.02 (from 73.38)	Below pre-war (77.03→69.45→69.36) — bond-vol fully unwound; the leg that fired the Treasury revert. Far below the 130 Stage-4 level.
VIX (equity vol)	17.68	12 Jun (lagged)	−2.18 (from 19.86)	Below pre-war (22.22→17.68) as the deal removes war risk — equity risk-on regime restored.
US gasoline retail avg	\$4.74 /gal	11 Jun (latest print)	+\$1.22 (from \$3.52, +35%)	Closed BELOW the \$4.75 threshold for the first time (\$4.77→\$4.74), firing the political-stress downgrade 5→4. Falling oil should extend the decline.

Strait operational state

Indicator	Current reading	Source
US–Iran peace deal (14 Jun)	Trump: "the Deal with the Islamic Republic of Iran is now complete." Confirmed by Iran's deputy FM Gharibabadi; welcomed by the UN, Qatar, Pakistan, UK and France. A 14-point MOU ends hostilities (incl. Lebanon), reopens Hormuz toll-free, removes the US blockade, extends the ceasefire 60 days with nuclear talks to follow.	Al Jazeera / NBC / Axios / RFE-RL
Blockade & reopening	Trump "fully authorized the toll-free opening of the Strait of Hormuz and the immediate removal of the US naval blockade." A formal signing ceremony is expected; the G7 (Evian, 15 Jun) will discuss the lasting reopening.	Axios / RFE-RL
Vessel traffic vs pre-war norm	Still ~5% of the pre-conflict 3,000 vessels/month norm — physical recovery lags the announcement (mine clearance, insurance, re-routing). The maritime-denial downgrade (5→4) reflects the policy reversal, not yet realized traffic.	Reuters / shipping data
Nuclear / sanctions	Iran reaffirms abstention from nuclear weapons; HEU disposition and sanctions relief are for the 60-day talks. Bessent previously tied relief to Iran handing over highly enriched uranium.	NBC / Axios
Residual risks	The MOU is announced but the formal signing is pending; prior ceasefires were repeatedly tested. Implementation (mine clearance, blockade withdrawal, nuclear verification) is the next hurdle.	Reuters / Commons Library
US macro overlay	The deal unwinds the war's macro footprint: oil, breakevens and yields falling, MOVE/VIX below pre-war, Fed-hike pricing gone. The mid-June FOMC now meets into a disinflating, de-risking backdrop.	CNBC / BLS / Bloomberg

2 · US economic shock — analysis with bond yields

The US economic shock is unwinding fast toward the bottom of **Stage 3** (23/30) as the confirmed peace deal removes the war's risk premium across oil, rates and vol simultaneously. Three channels stepped down (escalation, maritime, political), and the remaining elevation is concentrated in channels that will normalize with implementation (oil as the strait reopens; Treasury/inflation as the macro re-stress fades). The bias is firmly to the downside, toward the systemic-risk-watch band. No Stage-4 signal; the dollar is easing, not breaking.

2.1 · Bond-yield transmission

15 Jun yields are intraday; d/d vs 12 Jun close, w/w vs 8 Jun. **Score 26→23**. The political downgrade fired on the 11 Jun gasoline close (\$4.74), and the weekend peace deal reverted escalation (5→4) and downgraded maritime (5→4). Yields fell hard on the deal: 2Y −13.8 bp w/w, 10Y −13.7 bp, 30Y −10.8 bp; Brent −\$9.78 w/w to \$82.47.

(i) Inflation anchor — whipsawed back above the trigger; holds at 4. 5Y5Y forward closed 2.1901% on 11 Jun (firing the downgrade) but rebounded to 2.2117% (12 Jun close) and 2.2523% (15 Jun intraday) — back above the 2.20% trigger. The single sub-2.20% close did not sustain, so US-inflation stays at 4 pending a second confirming close (above for a re-upgrade, below for confirmation). The rise as oil crashes likely reflects a dovish-Fed long-run repricing (10Y BE fell to 2.32%).

(ii) Long-end — below 5.00%, falling. 30Y at 4.9274% intraday (−3.9 bp d/d, −10.8 bp w/w) is well below 5.00% with MOVE at 69.36 (below pre-war) — Treasury-stress remains reverted at 4. 10Y at 4.4256% is 22.4 bp below the 4.65% trigger (was ~10 a week ago); the curve is normalizing (+40 bp, 2s10s). A move to 3 would need 30Y <4.50% with MOVE <65 — not yet, but the direction is set.

(iii) Oil — crashing on the reopening; holds at 3, downgrade imminent. Close path: \$89.11 (11 Jun) → \$86.12 (12 Jun) → \$82.47 intraday (15 Jun); WTI below \$80. Risk premium ~\$10/bbl (+13.8% vs pre-war), the conflict low, as the deal authorizes the toll-free reopening and blockade removal. Holds at 3 on the 12 Jun close (\$86.12 >\$80), but **a sustained Brent close <\$80 downgrades it to 2** (→22/30) — likely within days as the strait reopens. The EIA's \$105 STEO path assumed a closed strait and is now stale to the downside.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event — the deal has moved the complex decisively away from it. The relevant question now is how fast the score normalizes *down* from Stage 3.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y back below 5.00% and bond vol below pre-war, the mid-June 30Y auction should price comfortably.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Receding. 30Y 4.9274% is 27 bp below the 5.20% trigger; 10Y 4.4256% is 22.4 bp below 4.65% — both moving away as the deal rallies bonds.

Threshold C · MOVE above 130. Unwound. MOVE 69.36 and VIX 17.68 are both below pre-war — the vol complex has fully normalized. HY OAS not in the BBG sheet — watch externally, but the risk-on tone argues for tightening.

2.3 · Cross-asset

The dollar eased to 99.47 as the safe-haven bid unwinds; bond vol (MOVE 69.36) and equity vol (VIX 17.68) are both below pre-war. Across oil, rates, gas and vol, the cross-asset complex is converging on — and in places through — its pre-war baseline. The score's residual elevation is now structural (the strait has not physically reopened; the macro re-stress is fading but not gone) rather than a live-stress signal. The WTI move below \$80 and TTF's –€5.6 w/w slide are the clearest market votes that the war's energy premium is being removed.

3 · Shock score

Total: **23/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	DOWNGRADED 5→4. The peace deal authorizes the toll-free reopening of Hormuz and the immediate removal of the US blockade — the denial regime is being dismantled. Physical traffic is still ~5% (mine clearance, insurance lag), so not lower yet.	↑ strait re-closed / blockade reinstated → back to 5. ↓ traffic >25% normal for 10 sessions → channel to 3.
Oil price shock	3/5	Held at 3 — downgrade imminent. Crashing: \$86.12 close 12 Jun → \$82.47 intraday 15 Jun (WTI <\$80); risk premium ~\$10/bbl, the conflict low. The reopening is pulling it toward \$80.	↑ Brent >\$100 sustained → to 4. ↓ Brent close <\$80 sustained → to 2 (→22/30, likely soon).
US inflation impulse	4/5	Held at 4 — whipsaw. 5Y5Y closed 2.1901% (11 Jun, fired 5→4) then rebounded to 2.2117% (12 Jun close) and 2.2523% (15 Jun intraday), back above 2.20%. One close above; re-upgrade pending a second. 10Y BE 2.32%.	↑ 5Y5Y close >2.20% sustained → back to 5. ↓ 5Y5Y toward the 2.142% pre-war anchor → to 3.
Treasury stress	4/5	Held at 4. 30Y 4.9274% intraday (well <5.00%) with MOVE 69.36 (<75) — reverted on 11 Jun and falling further with the deal. 10Y 22.4 bp below its 4.65% trigger.	↑ 30Y close >5.00% with MOVE >75 → back to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	DOWNGRADED 5→4. Gasoline closed \$4.74 (11 Jun), below the \$4.75 threshold for the first time, on a ~15-session downtrend from the \$5.18 peak. Falling oil should extend it.	↑ gasoline >\$4.75 sustained → back to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	4/5	REVERTED 5→4. A confirmed US–Iran peace deal (Trump “complete,” Iran's deputy FM confirmed, UN/Qatar/UK/France welcomed) ends hostilities and authorizes the reopening. Formal signing pending; prior ceasefires were tested, so not lower yet.	↑ deal collapse / fresh strikes → back to 5. ↓ formal signing + sustained calm → to 3.
TOTAL	23/30	Crisis band — largest single-session drop of the monitor (26→23). The peace deal reverted escalation and downgraded maritime; the gasoline close fired political. Five channels now sit at 4 and oil at 3. The bias stays down: oil →2 (Brent → \$80), then maritime/escalation →3 as the deal is signed and traffic recovers — a trajectory toward the 15–21 systemic-risk-watch band.	

4 · What's changed since the last edition (12 Jun AM → 15 Jun AM)

Score falls to 23/30 — three channels moved. Escalation-risk reverted 5→4 (peace deal), maritime-denial downgraded 5→4 (blockade removal / reopening), and political-stress downgraded 5→4 (gasoline \$4.74 <\$4.75). Source: Bloomberg / news wires.

Confirmed US–Iran peace deal (14 Jun). Trump: “the Deal... is now complete.” Confirmed by Iran's deputy FM Gharibabadi; welcomed by the UN, Qatar, Pakistan, UK and France. The 14-point MOU ends hostilities (incl. Lebanon), reopens Hormuz toll-free, removes the US blockade, extends the ceasefire 60 days and frames nuclear talks. Source: Al Jazeera / NBC / Axios / RFE-RL.

Oil crashed. Brent \$86.12 close (12 Jun) → \$82.47 intraday (15 Jun); WTI below \$80 at \$79.24. Risk premium ~\$10/bbl, the conflict low. TTF –€5.6 w/w; Henry Hub back to pre-war. Source: Bloomberg.

Rates and vol normalized. 2Y –13.8 bp w/w, 10Y –13.7 bp, 30Y –10.8 bp; MOVE 69.36 and VIX 17.68 both below pre-war. The jobs/CPI rate re-stress has fully unwound. Source: Bloomberg.

5Y5Y whipsaw. The 11 Jun sub-2.20% close (2.1901%) that fired the US-inflation downgrade reversed: 2.2117% (12 Jun close), 2.2523% (15 Jun intraday). US-inflation holds at 4, re-upgrade pending a second close >2.20%. Source: Bloomberg USGG5Y5Y.

12 Jun close vs my intraday. Brent \$86.12 vs my \$88.02 (–\$1.90) — the slide continued into the close; 5Y5Y closed 2.2117% (vs my 2.1885%), back above the trigger (\$9). Source: Bloomberg 12 Jun close.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — strait reopens, normalization	55%	The MOU is signed and implemented: mine clearance, blockade withdrawal, traffic recovers; nuclear talks proceed. New base case after the 14 Jun announcement.	Brent \$70–82; 30Y 4.6–4.9%; MOVE <70; score normalizes toward the 15–21 band and below.
Slow / partial implementation	24%	Ceasefire holds but reopening is gradual (mines, insurance, verification disputes); intermittent friction without full breakdown.	Brent \$80–90; yields stable; modest residual risk premium ~\$5–8/bbl.
Deal stumbles — signing delayed	12%	Formal signing slips or nuclear/HEU and sanctions terms snag; rhetoric hardens but no return to strikes.	Brent \$85–95; yields drift up; risk premium rebuilds toward \$10–15/bbl.
Ceasefire breakdown / re-escalation	6%	A provision collapses (HEU, sanctions, Lebanon) and strikes resume — the failure mode given prior tested ceasefires.	Brent \$110–130; 10Y >4.65%; 30Y >5.20%; risk-off; score back toward 27–28.
Major regional relapse	3%	Multi-front relapse with the strait re-closed/mined. Tail risk, much reduced by the deal.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

The scenario map is recast around the 14 Jun peace deal: the base case flips from escalation to **deal-holds normalization (55%)**, with slow/partial implementation (24%) the main friction case. The escalation buckets collapse to a combined 9% (signing-stumble 12% is a delay, not a relapse), versus a majority-escalation distribution a week ago. Key caveats: the formal signing is still pending, mine clearance and insurance will slow the physical reopening, and the nuclear/HEU and sanctions terms remain to be negotiated over 60 days — so a signing-stumble or breakdown, while now minority risks, are the scenarios to watch.

6 · Watchlist · next 24–72 hours

Formal MOU signing & G7 (Evian, 15 Jun). The deal is announced but not yet formally signed; the G7 will discuss the lasting reopening. A signing ceremony + sustained calm would take escalation-risk to 3; a delay or snag (HEU, sanctions) is the main downside to the de-escalation.

Oil close <\$80 — oil downgrade. Imminent. Brent \$82.47 intraday, WTI already <\$80. A sustained Brent close below \$80 downgrades the oil channel 3→2 and takes the score to 22/30 — likely within days as the reopening is priced.

Strait traffic recovery — maritime to 3. Watch verified vessel-traffic data: traffic >25% of normal sustained for ten sessions would take maritime-denial 4→3. Mine clearance and insurance are the gating factors.

Gasoline — political toward 3. \$4.74 (11 Jun) and falling with crude; a move toward the \$3.52 pre-war level would take political-stress 4→3.

5Y5Y — re-upgrade or confirm. A second close >2.20% would restore US-inflation to 5; a renewed grind toward the 2.142% pre-war anchor would take it to 3. Currently whipsawing right at the line.

Mid-June FOMC. The Fed now meets into a disinflating, de-risking backdrop (oil down, breakevens easing, MOVE below pre-war). The dots will frame how fast the war-driven hike scare reverses — a dovish shift would accelerate the rates normalization.

Mid-June 30Y auction. With 30Y back below 5.00% and bond vol below pre-war, a clean auction would confirm the rate-stress has passed.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO1/CL1 Comdty (Brent/WTI); NGA/TZTA/JGLA Comdty (Henry Hub/TTF/Asia LNG); USGG2YR/5YR/10YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (US retail gasoline).

Tier 1 — news and institutional. Al Jazeera, NBC, Axios, RFE-RL, AP, Reuters, AFP, FT, WSJ, CNBC, CNN, Bloomberg, UK House of Commons Library; UN, G7, BLS, EIA, IAEA, Federal Reserve (H.15). The 14 Jun US–Iran peace deal (“now complete”), Iranian deputy-FM confirmation, the 14-point MOU, toll-free Hormuz reopening and blockade removal, and the UN/Qatar/Pakistan/UK/France statements via Al Jazeera / NBC / Axios / RFE-RL; the G7 Evian (15 Jun) agenda via RFE-RL.

Tier 3 — state media (labelled). The draft-MOU details released by Iranian state-affiliated media are labelled as such and corroborated against NBC / Al Jazeera / Axios; Xinhua, TASS, Tasnim, Fars, Press TV used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (12 Jun; the weekend is a gap) and capture any restatement.
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 8 Jun this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market/economic channels move on a confirmed close (this edition: political 5→4 on gasoline \$4.74). Escalation-risk is event-based (5→4 on the confirmed peace deal); maritime stepped down on the blockade-removal / reopening authorization.
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 12 Jun close continued the oil slide and the 5Y5Y whipsaw back above 2.20%).
5	Update scenarios and watchlist	Recast the scenario map around the deal; lead with the formal signing, oil <\$80, and strait-traffic recovery as the next downgrades.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger; escalation-risk is event-based. The 14 Jun peace deal is treated as a confirmed event (escalation 5→4) and a policy reversal for maritime denial (5→4), with further downgrades gated on implementation — physical traffic recovery, formal signing, sustained calm.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Several channels are now converging on these levels.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot. The 14 Jun deal was a weekend event, so the 15 Jun intraday is the first market reaction (oil crashing, yields down). Market-channel triggers are evaluated only on confirmed closes (e.g. the political downgrade on the 11 Jun gasoline close; the oil downgrade awaits a confirmed Brent close <\$80). This edition uses Bloomberg's restated front-month continuation series; absolute levels are not directly comparable with pre-restatement editions, though the directional analysis is continuous.